



COMPANY BACKGROUND

TANDY CORPORATION ***First And Foremost, A Retailer***

Tandy Corporation is America's pre-eminent retailer of consumer electronics and personal computers. Tandy's retail operations span more than 7,200 stores and dealer/franchise outlets nationwide.

Tandy Corporation began as a family leather business in 1919 and grew into a one billion dollar business under the leadership of sales pioneer Charles Tandy. Charles Tandy was intrigued with the potential for rapid growth in the electronics industry and established a successful framework of marketing and financial strength for the company.

Today, Tandy Corporation is in the midst of a significant transition from an exciting past to an exciting future. Under the leadership of John V. Roach, chairman and chief executive officer, Tandy has grown into a *multi-billion dollar* company devoted to capitalizing on and improving the proven profit potential of its established retail chains and the tremendous opportunity for growth of its new store formats.

The company's mission is to provide extraordinary value for the customer through knowledgeable personnel, unparalleled product selection and availability, and commitment to satisfaction. The management of Tandy's retail operations is charged with the responsibility to set the standards for customer value.

Each of Tandy's retail formats has a distinct position in the marketplace to serve different customer needs:

- **Radio Shack®** -- the ultimate electronics service store with nearly 6,600 locations nationwide, more than 55 million customers each year, and more than 3,500 available products, parts and components;

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- **Computer City®** -- operated by a division of Tandy, America's pre-eminent computer superstore chain with more than 5,000 name brand computer and home office products; expansion plans include the addition of SuperCenters during 1993 for a total of 37 superstore locations, and up to 24 new stores in 1994.
- **Incredible Universe®** -- the ultimate electronics destination and entertainment store featuring more than 185,000-square-feet of the latest consumer electronics products and major appliances, complete service center, restaurant, children's play area, Karaoke music studio, photo-processing services, and more; Incredible Universe stores are located in Portland, Ore., Dallas and Arlington, Texas; a Miami location is expected to open during the first quarter of 1994 and expansion plans include up to 14 additional locations through 1995.
- **VideoConcepts®** -- 182 mall-based retail stores offering the "best of the best" selection of competitively priced major name brand audio, video, and personal electronics products.
- **McDuff Electronics®** -- consumer electronics and appliance retail chain servicing primarily secondary markets; 124 SuperCenters and smaller mall-based stores that feature a full line of audio and video products as well as major name brand appliances.
- **The Edge in Electronics®** -- boutique-style stores designed for mall customers interested in fashionable personal and portable name brand electronics.

In May 1993, Tandy Corporation introduced four new retail formats which offer new added value and convenience for customers as well as new growth for the company. These formats include:

- **Radio Shack Express™** - half the size of a traditional company-owned store, these 1,200-square-foot stores carry approximately 75 percent of the popular electronics products sold in Radio Shack outlets nationwide. The Express stores are located in selective, highly-populated markets where larger Radio Shack locations are not readily available. The first Radio Shack Express store opened in Philadelphia in June.

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- **Computer City Expresssm** - 10,000-square-foot stores which carry the "best of the best" personal computer and home office products sold in the chain's larger SuperCenters. Called "satellite" stores in the original plan, Computer City Express stores are located in major metropolitan markets and complement the service provided by SuperCenters. Two Express stores, one in Houston and one in Colorado Springs, Colo., are expected to open in October.
- **Famous Brand Electronicssm** - located in outlet shopping malls, these 3,500-square-foot stores carry a wide variety of audio and video products including new, renewed, blemished, clearance and factory-overstocked consumer electronics items from Radio Shack and the world's leading manufacturers. Locations open to date include Millstream Factory Shops, Lancaster, Pa.; Lighthouse Place, Michigan City, Ind.; and, Tanger Factory Outlet Center, Gonzales, La. Expansion plans include two additional stores before the end of 1993.
- **Energy Express Plussm** - free-standing kiosks in high-traffic malls that specialize in a selection of name brand, high-impulse mobile electronic products and accessories. The kiosks also sell and install hard-to-find batteries. Locations open to date include Irving Mall, Irving, Texas; Boulevard Mall, Las Vegas; McCain Mall, Little Rock, Ark.; and, A&S Mall, New York City. Expansion plans include four additional kioks before the end of 1993.

Tandy Corporation is headquartered in Fort Worth, Texas. Tandy is listed on the New York Stock Exchange (Ticker Symbol "TAN").

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Radio Shack, VideoConcepts, and McDuff Electronics are registered service marks used by Tandy Corporation.

Computer City is a registered service mark of Computer SuperCenters International, Inc.

Computer City Express is a service mark of Computer SuperCenters International, Inc.

Incredible Universe and The Edge in Electronics are registered service marks of Tandy Corporation.

Radio Shack Express is a service mark used by Tandy Corporation.

Famous Brand Electronics and Energy Express Plus are service marks of Tandy Corporation.